If you had lived back then, you would probably have thought twice before you opened an enterprise of your own. And indeed this legal situation discouraged entrepreneurship. People were afraid to start new businesses and take economic risks. It hardly seemed worth taking the chance that their families could end up utterly destitute.

This is why people began collectively to imagine the existence of limited liability companies. Such companies were legally independent of the people who set them up, or invested money in them, or managed them. Over the last few centuries such companies have become the main players in the economic arena, and we have grown so used to them that we forget they exist only in our imagination. In the US, the technical term for a limited liability company is a 'corporation', which is ironic, because the term derives from '*corpus*' ('body' in Latin) – the one thing these corporations lack. Despite their having no real bodies, the American legal system treats corporations as legal persons, as if they were flesh-and-blood human beings.

And so did the French legal system back in 1896, when Armand Peugeot, who had inherited from his parents a metalworking shop that produced springs, saws and bicycles, decided to go into the automobile business. To that end, he set up a limited liability company. He named the company after himself, but it was independent of him. If one of the cars broke down, the buyer could sue Peugeot, but not Armand Peugeot. If the company borrowed millions of francs and then went bust, Armand Peugeot did not owe its creditors a single franc. The loan, after all, had been given to Peugeot, the company, not to Armand Peugeot, the *Homo sapiens*. Armand Peugeot died in 1915. Peugeot, the company, is still alive and well.

How exactly did Armand Peugeot, the man, create Peugeot, the company? In much the same way that priests and sorcerers have created gods and demons throughout history, and in which thousands of French *curés* were still creating Christ's body every Sunday in the parish churches. It all revolved around telling stories, and convincing people to believe them. In the case of the French *curés*, the crucial story was that of Christ's life and death as told by the Catholic Church. According to this story, if a Catholic priest dressed in his sacred garments solemnly said the right words at the right moment, mundane bread and wine turned into God's flesh and blood. The priest exclaimed '*Hoc est corpus meum!*' (Latin for 'This is my body!') and hocus pocus – the bread turned into Christ's flesh. Seeing that the priest